

# BERNSTEIN

SOCIETE GENERALE GROUP

Global Luxury Goods

## Hermès International

Rating

### Outperform

Price Target

 RMS.FP

2,150.00 EUR



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## Hermès: 1H26 organic sales in line; EBIT 2% above

Hermès reported 2Q26/ 1H26 results before market open today, with Group OSG of +6.7% arriving in-line with consensus expectations. This represents a slight acceleration from 1Q26, driven primarily by France, Japan and the Middle East. EBIT margins came in at 41.1%, +70bps ahead of expectations, driven by higher GM%. FX was a -1.9pts drag this quarter. Currency fluctuations represented a €360m negative impact on revenue for 1H26, and €70m for 2Q26.

2Q26 is a slight incremental improvement relative to 1Q26, but should be taken with no drama, given the de-rating suffered by Hermès in recent months. We expect more to write home about, as Hermès ups the ante on the high-end and accelerates newness (see [Hermès: Stretching upwards](#)).

By division, Leather Goods delivered +10.2% OSG (vs. cons at +10.8%); RTW +3.6% (vs. +3.4%); Silks & Textiles +12.2% (vs. +7.4%); Other Sectors +4% (vs. +4.1%); Watches +4.4% (vs. -0.4%); Perfumes -9.5% (vs. -2.9%).

By region, APAC ex. JP saw +2.5% CFx growth (vs. cons at +3.3%), France and Europe came in at +6.2% and +8.3% vs. consensus at +3.3% and +8.7% respectively, the Americas +13.7% vs. +14.1%, Japan +12.3% vs. +10.6%, and Other regions -2.4% vs. -7.4%.

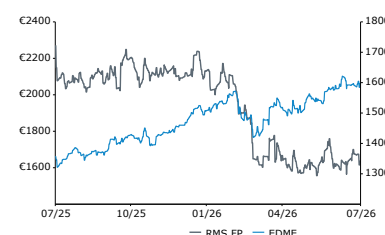
The conference call will take place at 0900 CET | 0800 UKT (webinar links in [English](#) | [French](#)). We rate Hermès Outperform, PT €2,150.00.

### Links to recent research

- [Global Luxury Goods: A logic lens to understand tourist headwinds in 1H26E](#)
- [Hermès: The Secondhand Pricing Tracker - June 2026](#)
- [Hermès: The Secondhand Pricing Tracker](#)
- [Global Luxury Goods: The case for Haute Joaillerie](#)
- Blackbook - [Hermès: Orange Is The New Blackbook](#)

|                                                      |                   |     |        |        |  |
|------------------------------------------------------|-------------------|-----|--------|--------|--|
| Close Date                                           | 28 Jul 2026       |     |        |        |  |
| RMS.FP Close Price (EUR)                             | 1,695.50          |     |        |        |  |
| Price Target (EUR)                                   | 2,150.00          |     |        |        |  |
| Upside/(Downside)                                    | 27%               |     |        |        |  |
| 52-Week Range                                        | 2,421.00/1,529.00 |     |        |        |  |
| EDME                                                 | --                |     |        |        |  |
| FYE                                                  | Dec               |     |        |        |  |
| Div Yield                                            | 1.1%              |     |        |        |  |
| Market Cap (EUR) (M)                                 | 178,993           |     |        |        |  |
| EV (EUR) (M)                                         | 169,106           |     |        |        |  |
| Performance                                          | YTD               | 1M  | 6M     | 12M    |  |
| Absolute (%)                                         | (20.1)            | 4.3 | (17.3) | (29.0) |  |
| EDME (%)                                             |                   |     |        |        |  |
| Relative (%)                                         |                   |     |        |        |  |
| Source: Bloomberg, Bernstein estimates and analysis. |                   |     |        |        |  |

Price Performance, 1YR



| Adjusted EPS | F25A  | F26E  | F27E  | Financials   | F25A   | F26E   | F27E   | CAGR | Valuation Metrics | F25A | F26E | F27E |
|--------------|-------|-------|-------|--------------|--------|--------|--------|------|-------------------|------|------|------|
| RMS.FP (EUR) | 43.12 | 43.89 | 52.30 | Revenues (M) | 16,002 | 16,820 | 18,593 | --   | Adjusted P/E (x)  | 39.3 | 38.6 | 32.4 |

Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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EXHIBIT 1: **Hermès 2Q26/ 1H26 results**

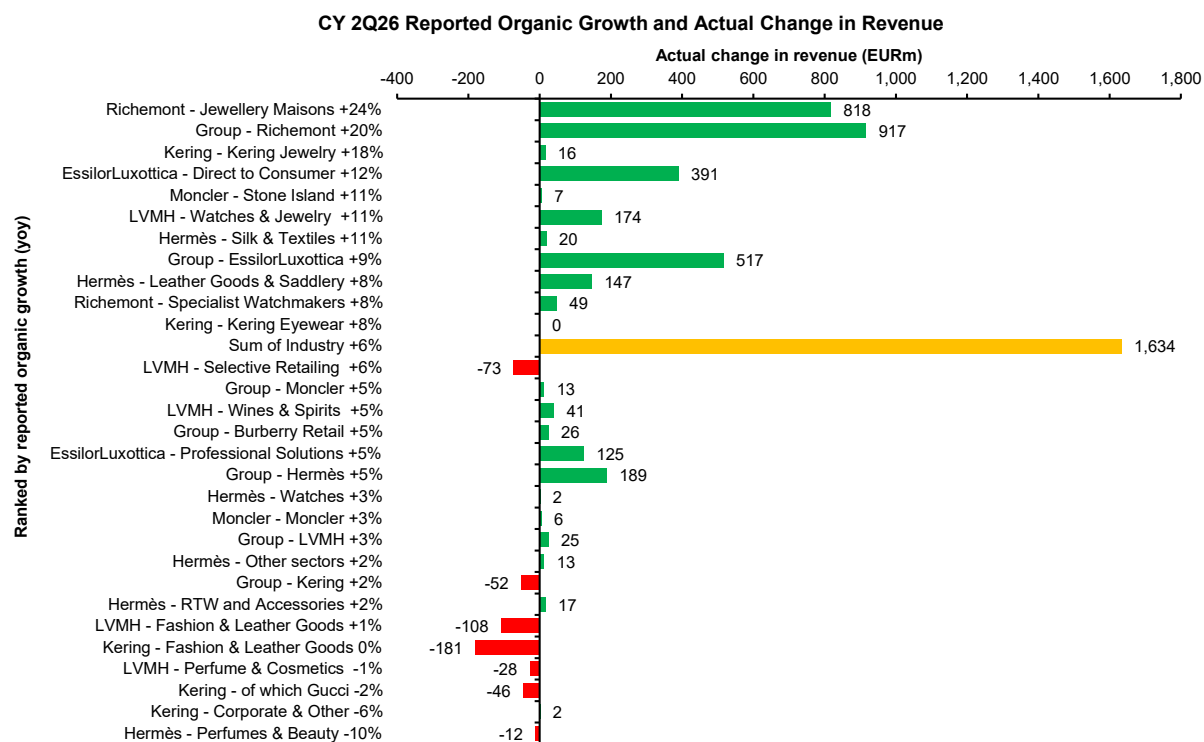
| Hermès<br>Quarter             | Actual<br>2Q26 | Consensus<br>2Q26 | Delta<br>2Q26 | Actual<br>2Q25 | YoY %        | Actual<br>1Q26 | Actual<br>Seq % |
|-------------------------------|----------------|-------------------|---------------|----------------|--------------|----------------|-----------------|
| <b>Total Sales</b>            | <b>4,094</b>   | <b>4,068</b>      | <b>1%</b>     | <b>3,906</b>   | <b>5%</b>    | <b>4,070</b>   | <b>1%</b>       |
| <i>Organic growth y/y</i>     | 6.7%           | 6.7%              | +3bps         | 9.0%           | -230bps      | 5.6%           | +110bps         |
| <b>By geographical area</b>   |                |                   |               |                |              |                |                 |
| France                        | 6.2%           | 3.3%              | +290bps       | 4.1%           | +210bps      | -2.8%          | +900bps         |
| Rest of Europe                | 8.3%           | 8.7%              | -43bps        | 12.6%          | -430bps      | 9.7%           | -140bps         |
| Japan                         | 12.3%          | 10.6%             | +167bps       | 14.7%          | -240bps      | 9.6%           | +270bps         |
| Rest of Asia-Pacific          | 2.5%           | 3.3%              | -83bps        | 5.2%           | -270bps      | 2.2%           | +30bps          |
| Americas                      | 13.7%          | 14.1%             | -37bps        | 12.3%          | +140bps      | 17.2%          | -350bps         |
| Other                         | -2.4%          | -7.4%             | +496bps       | 20.4%          | -2,280bps    | -5.9%          | +350bps         |
| <b>By sector</b>              |                |                   |               |                |              |                |                 |
| Leather Goods - Saddlery      | 10.2%          | 10.8%             | -59bps        | 14.8%          | -460bps      | 9.4%           | +80bps          |
| Ready-to-Wear and Accessories | 3.6%           | 3.4%              | +21bps        | 3.8%           | -20bps       | 0.4%           | +320bps         |
| Silk and Textiles             | 12.2%          | 7.4%              | +483bps       | 2.2%           | +1,000bps    | 7.8%           | +440bps         |
| Other Hermès Sectors          | 4.0%           | 4.1%              | -12bps        | 14.9%          | -1,090bps    | 6.8%           | -280bps         |
| Perfumes                      | -9.5%          | -2.9%             | -662bps       | -7.2%          | -230bps      | 0.2%           | -970bps         |
| Watches                       | 4.4%           | -0.4%             | +484bps       | -5.5%          | +990bps      | -3.7%          | +810bps         |
| Other products                | 1.9%           | -0.9%             | +275bps       | -0.4%          | +230bps      | 3.6%           | -170bps         |
| <b>Semi-Annual</b>            | <b>1H26</b>    | <b>1H26</b>       | <b>1H26</b>   | <b>1H25</b>    | <b>YoY %</b> | <b>2H25</b>    | <b>Seq %</b>    |
| <b>Total Sales</b>            | <b>8,163</b>   | <b>8,156</b>      | <b>0%</b>     | <b>8,033</b>   | <b>2%</b>    | <b>7,968</b>   | <b>2%</b>       |
| Gross Profit                  | 5,807          | 5,721             | 1%            | 5,678          | 2%           | 5,701          | 2%              |
| Gross Margin                  | 71.1%          | 70.2%             | +99bps        | 70.7%          | +46bps       | 71.5%          | -41bps          |
| <b>EBIT</b>                   | <b>3,351</b>   | <b>3,293</b>      | <b>2%</b>     | <b>3,327</b>   | <b>1%</b>    | <b>3,242</b>   | <b>3%</b>       |
| EBIT margin %                 | 41.1%          | 40.4%             | +68bps        | 41.4%          | -36bps       | 40.7%          | +36bps          |

Source: Visible Alpha, Company reports, Bernstein analysis

EXHIBIT 2: **Luxury Goods Calendar Year 2Q26 results, by division**

| <b>Luxury 2Q26 (calendar year) Results</b> |              |              |              |                |                 |                 |                  |
|--------------------------------------------|--------------|--------------|--------------|----------------|-----------------|-----------------|------------------|
| (in reporting currency millions)           | 2Q26         | 2Q25         | 2Q21         | Organic<br>y/y | Reported<br>y/y | Organic<br>y/5y | Reported<br>y/5y |
| Richemont (EUR)                            | 6,329        | 5,412        | 4,397        | +20%           | +17%            | +73%            | +44%             |
| <b>Jewellery Maisons</b>                   | <b>4,732</b> | <b>3,914</b> | <b>2,515</b> | <b>+24%</b>    | <b>+21%</b>     | <b>+99%</b>     | <b>+88%</b>      |
| <i>Specialist Watchmakers</i>              | 873          | 824          | 849          | +8%            | +6%             | +6%             | +3%              |
| EssilorLuxottica (EUR)                     | 7,692        | 7,175        | 4,708        | +9%            | +7%             |                 |                  |
| <i>Professional Solutions</i>              | 3,454        | 3,329        | 2,705        | +5%            | +4%             |                 |                  |
| <i>Direct to Consumer</i>                  | 4,237        | 3,846        | 2,902        | +12%           | +10%            |                 |                  |
| Hermès (EUR)                               | 4,094        | 3,905        | 2,151        | +5%            | +5%             | +96%            | +90%             |
| <i>Leather Goods &amp; Saddlery</i>        | 1,912        | 1,765        | 1,011        | +8%            | +8%             | +92%            | +89%             |
| <i>RTW and Accessories</i>                 | 1,123        | 1,106        | 552          | +2%            | +2%             | +75%            | +104%            |
| <i>Silk &amp; Textiles</i>                 | 212          | 192          | 126          | +11%           | +10%            | +44%            | +69%             |
| <i>Other Hermès sectors</i>                | 525          | 512          | 234          | +2%            | +3%             | +96%            | +124%            |
| <i>Perfumes &amp; Beauty</i>               | 107          | 119          | 85           | -10%           | -10%            | +1%             | +26%             |
| <i>Watches</i>                             | 132          | 130          | 81           | +3%            | +2%             | +27%            | +64%             |
| Moncler (EUR)                              | 409          | 397          | 256          | +5%            | +3%             |                 |                  |
| <i>Moncler brand</i>                       | 323          | 317          | 200          | +3%            | +2%             | +73%            | +61%             |
| <i>- Retail</i>                            | 259          | 253          | 139          | +3%            | +3%             | +100%           | +86%             |
| <i>- Wholesale</i>                         | 64           | 65           | 61           | +3%            | -0%             | +5%             | +6%              |
| <i>Stone Island</i>                        | 86           | 79           |              | +11%           | +9%             |                 |                  |
| Burberry Retail (GBP)                      | 455          | 433          | 479          | +5%            | +5%             |                 | -5%              |
| LVMH (EUR)                                 | 19,524       | 19,499       | 14,706       | +3%            | +0%             | +39%            | +33%             |
| <b>Fashion &amp; Leather Goods</b>         | <b>8,899</b> | <b>9,007</b> | <b>7,125</b> | <b>+1%</b>     | <b>-1%</b>      | <b>+34%</b>     | <b>+25%</b>      |
| <i>Wines &amp; Spirits</i>                 | 1,324        | 1,283        | 1,195        | +5%            | +3%             | +14%            | +11%             |
| <i>Perfume &amp; Cosmetics</i>             | 1,876        | 1,904        | 1,475        | -1%            | -1%             | +30%            | +27%             |
| <i>Watches &amp; Jewelry</i>               | 2,782        | 2,608        | 2,140        | +11%           | +7%             | +37%            | +30%             |
| <i>Selective Retailing</i>                 | 4,358        | 4,431        | 2,748        | +6%            | -2%             | +74%            | +59%             |
| Kering (EUR)                               | 3,652        | 3,704        | 4,157        | +2%            | -1%             | -11%            | -12%             |
| <i>Fashion &amp; Leather Goods</i>         | 2,948        | 3,129        |              | +0%            |                 |                 |                  |
| <b>of which Gucci</b>                      | <b>1,410</b> | <b>1,456</b> | <b>2,312</b> | <b>-2%</b>     | <b>-3%</b>      | <b>-37%</b>     | <b>-39%</b>      |
| <i>Kering Jewelry</i>                      | 252          | 236          |              | +18%           |                 |                 |                  |
| <i>Kering Eyewear</i>                      | 476          | 476          |              | +8%            |                 |                 |                  |
| <i>Corporate &amp; Other</i>               | 35           | 33           |              | -6%            |                 |                 |                  |

Source: Company reports, Bernstein analysis

EXHIBIT 3: **Luxury Goods Calendar Year 2Q26 results**

Source: Company reports, Bernstein analysis

## INVESTMENT IMPLICATIONS

We rate Hermès Outperform with a target price of EUR2,150.

## BERNSTEIN TICKER TABLE

| Ticker          | Rating | Cur | 28 Jul 2026      | Price<br>Target | TTM           | Adjusted EPS |       |       |       | Adjusted P/E (x) |       |       |
|-----------------|--------|-----|------------------|-----------------|---------------|--------------|-------|-------|-------|------------------|-------|-------|
|                 |        |     | Closing<br>Price |                 | Rel.<br>Perf. | Cur          | 2025A | 2026E | 2027E | 2025A            | 2026E | 2027E |
| RMS.FP (Hermes) | O      | EUR | 1,695.50         | 2,150.00        | (29.0)%       | EUR          | 43.12 | 43.89 | 52.30 | 39.3             | 38.6  | 32.4  |
| EDME            |        |     | --               |                 |               |              |       |       |       |                  |       |       |

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

## DISCLOSURE APPENDIX

**I. REQUIRED DISCLOSURES**

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**VALUATION METHODOLOGY****Hermès International**

We value Hermès on a target 3.2x relative P/E multiple to the MSCI Europe, applied to a blended NTM+1 forward EPS forecast, arriving at a target price of EUR2,150.

**RISKS****Hermès International**

On the downside:

1. Failure to convincingly innovate could push Hermès in a "classic corner", a possible risk if the aesthetics pendulum swings away from "quiet luxury".
2. Significant reliance on precious skins could at one point come again in focus, as consumers become more interested in animal welfare – a move away from crocodile with higher volumes in less expensive raw materials could puncture the rarity effect of most iconic products.
3. Legal challenges to Hermès commercial policies seem a long shot (see the case in California) – if successful, though, they could force Hermès to increase handbag prices. This could translate to lower growth for other product categories, benefiting today from iconic products pull.

**RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION****EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIA) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/- 15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

**Coverage Suspended:** Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

**Not Rated:** A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

**Not Covered (NC)** denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

### **Autonomous brand – common stocks**

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- **Outperform (OP):** Stock will outpace the relevant index by more than 10 pp
- **Neutral (N):** Stock will perform in line with the market index to within +/- 10 pp
- **Underperform (UP):** Stock will trail the performance of the relevant index by more than 10 pp

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

**Not Covered (NC)** denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

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- **Outperform (OP):** The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Neutral (N):** The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- **Underperform (UP):** The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

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- **Credit Underperform (C-UP):** The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

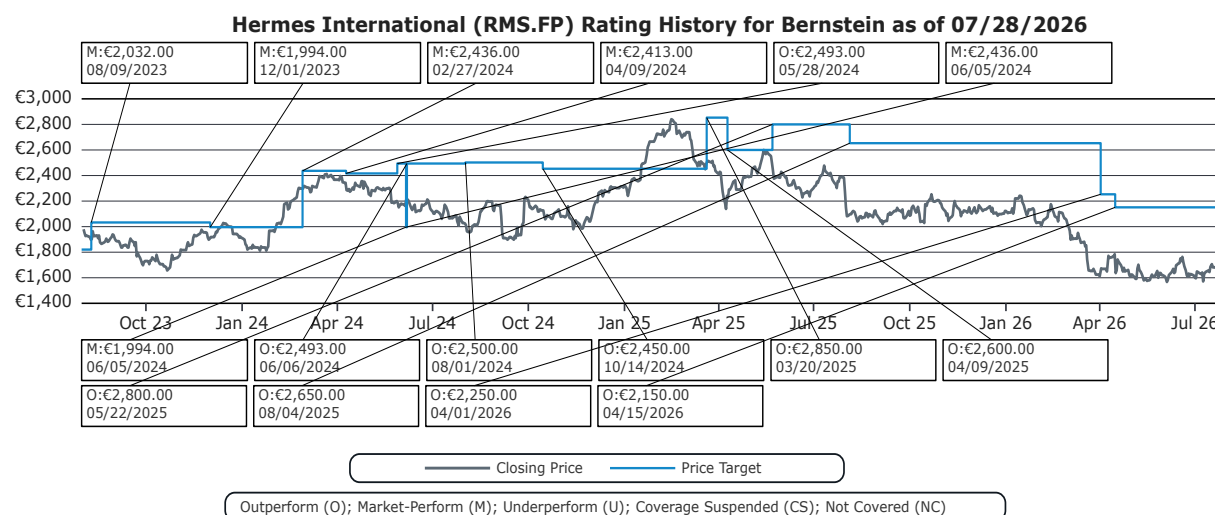
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| Equity Rating                                                  | Market Abuse Regulation (MAR) and FINRA Rating Category | Global Rating Distribution | Investment Banking Relationships* |
|----------------------------------------------------------------|---------------------------------------------------------|----------------------------|-----------------------------------|
| Outperform                                                     | BUY                                                     | 51.2%                      | 15.3%                             |
| Market-Perform (Bernstein Brand)<br>Neutral (Autonomous Brand) | HOLD                                                    | 35.8%                      | 16.2%                             |
| Underperform                                                   | SELL                                                    | 13.1%                      | 13.6%                             |

\* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.  
As of June 30, 2026. All figures are updated quarterly.



**PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY**

All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

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